Psychology of Investors: Why People Make Irrational Investment Decisions

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1. Introduction

Financial markets are often described as places where investors make decisions using logic, information, and careful analysis. Traditional economic theories assume that investors behave rationally and make decisions by comparing risks and returns. According to this view, markets are efficient and prices reflect all available information. However, when we look at how markets behave in real life, it becomes clear that investment decisions are not always purely rational.

Investors are human beings, and their decisions are often influenced by emotions, experiences, and personal beliefs. In real life, this can be seen quite often, especially during sudden market movements. Because of this, financial decisions are not always based only on logic. For example, when markets are rising quickly, investors may become overly confident and take bigger risks. On the other hand, during market downturns, fear can cause investors to sell their investments quickly even if the long-term outlook has not really changed.

The study of how psychological factors affect financial decisions is known as investor psychology. It focuses on understanding how emotions, behavioral biases, and social influences affect the way people invest. These factors can influence how investors interpret information, react to market movements, and make decisions.

This research is inspired by the study *"Psychology of Investor and Behavioral Finance"* by Vibhanshu Singh, which explains how behavioral biases influence investment decisions. The study shows that biases such as overconfidence, herd behavior, and loss aversion can play a major role in shaping investor behavior.

Building on these ideas, this project explores how psychological factors influence investment decisions and why investors sometimes act in ways that do not follow purely rational economic models.

1.1 Investor Psychology

Investor psychology studies how people's thoughts, emotions, and personal experiences influence the way they make investment decisions. In theory, financial decisions are expected to be based on careful analysis and logical thinking. However, in reality, investors often rely on their beliefs, past experiences, and emotions when deciding where to invest.

Psychological factors can affect how investors understand information, judge risk, and react to changes in the market. For example, an investor who recently made a profit may become more confident and take bigger risks. On the other hand, someone who has faced losses in the past may become more cautious while making decisions.

Because of these influences, two investors can look at the same market situation but interpret it in very different ways. This can affect how they buy, sell, or hold investments, and in turn, influence overall market movements.

1.2 Traditional Finance vs Behavioral Finance

Traditional finance is based on the idea that investors make rational decisions. It assumes that people carefully analyze information, compare risks and returns, and then choose the best investment option. According to theories like the Efficient Market Hypothesis, financial markets

reflect all available information, meaning asset prices are generally fair and investors act logically when making decisions.

However, real financial markets do not always behave this way. Markets often experience sudden price swings, bubbles, or panic selling that cannot be explained only by economic data. These events show that investors do not always behave rationally and that emotions and psychological factors can influence financial decisions.

This is where behavioral finance comes in. Behavioral finance combines ideas from psychology and economics to better understand how people actually behave in financial markets. Instead of assuming that investors are always rational, it recognizes that people can be influenced by emotions, biases, and the behavior of others when making investment decisions.

Studying behavioral finance helps explain why investors sometimes make mistakes and why financial markets can become volatile even when the underlying economic conditions have not changed significantly.

1.3 Why Psychology Matters in Financial Markets

Psychology plays an important role in financial markets because the behavior of investors directly affects how markets move. When many investors react emotionally or behave in similar ways, it can influence asset prices and market trends.

One common example is herd behavior, where investors follow what others are doing instead of making independent decisions. When many people start buying a particular asset because its price is rising, demand increases and prices can go much higher than their actual value. On the other hand, during uncertain times, fear can cause many investors to sell their assets at the same time, leading to sudden market drops.

Psychological biases also affect how investors react to profits and losses. Many people feel the pain of losing money more strongly than the happiness of gaining the same amount. Because of this, investors may hold losing investments for too long or sell profitable ones too early. This is something that can be noticed quite clearly when markets become very volatile.

For this reason, studying investor psychology helps explain why markets sometimes behave unpredictably and why investors do not always make perfectly rational decisions.

1.4 Importance of Studying Investor Behavior

Studying investor behavior helps us better understand how financial markets actually work in the real world. By looking at the psychological factors behind investment decisions, researchers can explain events such as market bubbles, sudden crashes, and periods of high volatility.

Understanding investor psychology is also useful for investors themselves. Being aware of common behavioral biases can help people recognize mistakes in their decision-making and avoid acting purely on emotions. Financial advisors and policymakers can also use this knowledge to promote better financial education and more informed investment behavior.

As financial markets continue to grow and change, the importance of behavioral finance is likely to increase. Combining ideas from psychology and economics provides a more realistic way to understand how investors behave and why markets sometimes move in unexpected ways.

2. Behavioral Biases in Investment Decisions

2.1 Overconfidence Bias

One of the most common psychological biases in investing is overconfidence bias. Overconfidence occurs when investors believe they have better knowledge, skills, or predictions about the market than they actually do. Because of this belief, investors may underestimate risks and make decisions that are not fully supported by careful analysis.

Many investors experience overconfidence after they achieve success in the market. For example, if an investor earns profits from a few successful trades, they may begin to believe that they have a strong ability to predict market movements. This confidence can lead them to take larger risks or trade more frequently. However, financial markets are influenced by many unpredictable factors, and past success does not always guarantee future performance.

Overconfidence can also cause investors to ignore important information that contradicts their beliefs. When individuals become too confident in their own judgment, they may rely only on their own opinions rather than considering other viewpoints or analyzing additional data. This can lead to poor investment decisions and unexpected losses.

Another effect of overconfidence bias is excessive trading. Research has shown that investors who are highly confident in their abilities tend to trade more often than necessary. Frequent trading increases transaction costs and may reduce overall returns over time. Instead of carefully evaluating long-term opportunities, overconfident investors may focus on short-term gains, which can increase the risk of mistakes.

Overconfidence bias is important because it can influence not only individual investors but also overall market behavior. When many investors become overly confident at the same time, it can lead to increased speculation and market bubbles. Prices may rise quickly as investors believe that markets will continue to grow, even when asset values are already high.

Understanding overconfidence bias is therefore important for investors. Recognizing the limits of one's knowledge and maintaining a balanced approach to decision-making can help reduce the risks associated with overconfidence. Investors who remain cautious, continue learning, and evaluate multiple sources of information are more likely to make stable and well-informed investment decisions.

2.2 Loss Aversion

Another important psychological bias in investing is loss aversion. According to Kahneman and Tversky (1979), people experience losses more intensely than equivalent gains, which strongly affects decision-making under risk. Loss aversion refers to the tendency of people to feel the pain of losses more strongly than the satisfaction of gains. In simple terms, losing money often feels much worse than the happiness people experience from making the same amount of profit.

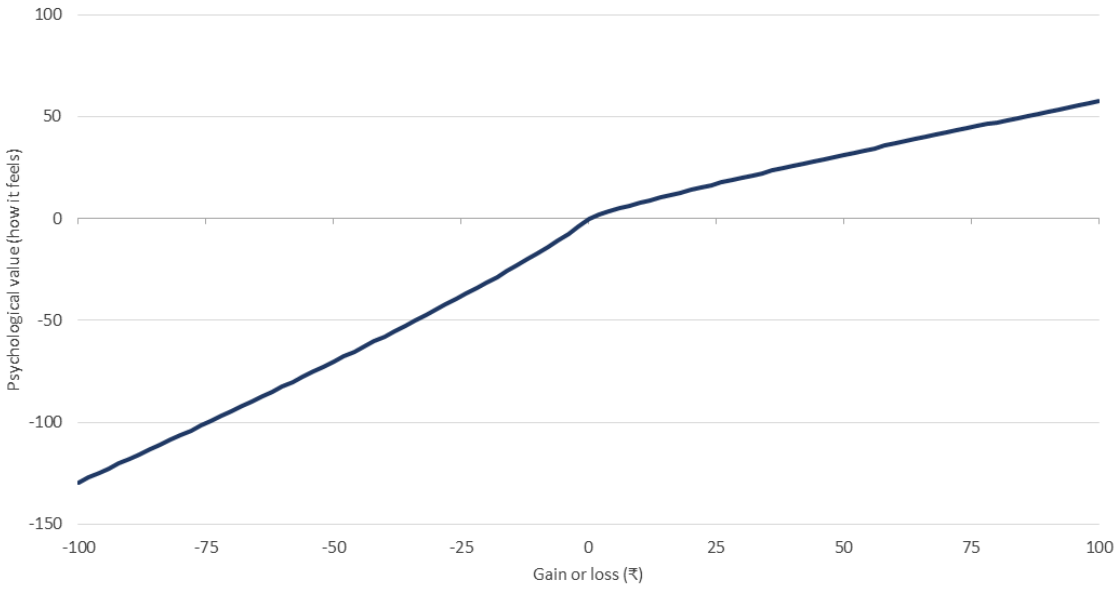


Figure 1. The prospect theory value function: a loss feels larger than a gain of the same size

Source: Based on Kahneman and Tversky (1979). Curve drawn by the author using the parameter estimates in Tversky and Kahneman (1992): v(x) = x^0.88 for gains and v(x) = −2.25(−x)^0.88 for losses.

Because of this emotional reaction, investors may behave differently when dealing with gains and losses. For example, when an investment starts losing value, some investors may refuse to sell it even if the chances of recovery are low. They may hold on to the investment in the hope that the price will eventually rise again, simply because they want to avoid realizing the loss. In some situations, investors may recognize this but still struggle to act differently.

At the same time, loss aversion can cause investors to sell profitable investments too early. When an investor sees a small gain, they may quickly sell the asset in order to "lock in" the profit. While this may seem like a safe decision, it can sometimes prevent investors from benefiting from larger long-term gains.

Loss aversion can also influence how investors react during market downturns. When markets fall sharply, fear of further losses may cause investors to panic and sell their investments at very low prices. These emotional reactions can make market declines even more severe, as large numbers of investors sell their assets at the same time.

This bias shows how emotions can strongly affect financial decisions. Instead of making choices based purely on long-term strategy or market fundamentals, investors may focus mainly on avoiding short-term losses. Understanding loss aversion is therefore important because it helps explain why investors sometimes make decisions that may not be beneficial in the long run.

By recognizing this bias, investors can try to manage their emotional reactions and make more balanced decisions. A long-term perspective, careful planning, and disciplined investment strategies can help reduce the negative effects of loss aversion in financial decision-making.

2.3 Herd Behavior

Another important behavioral bias in financial markets is herd behavior. Herd behavior occurs when investors follow the actions of others instead of making independent decisions based on

their own analysis. In many situations, people feel more comfortable doing what the majority of investors are doing rather than making decisions on their own.

This can be seen quite often during strong market trends or sudden hype. For example, when the price of a particular stock or asset starts rising quickly, more investors may begin buying it simply because others are buying it. As more people enter the market, demand increases and prices may rise even further. In some cases, this can push asset prices much higher than their actual value.

Herd behavior can also appear during market declines. When investors see others selling their investments, they may start selling as well because they fear losing money. This reaction can create panic selling, where large numbers of investors sell their assets at the same time. As a result, market prices may fall rapidly even if the underlying economic conditions have not changed significantly.

One reason herd behavior occurs is that financial markets can be uncertain and complex. Investors may feel that other market participants have better information or greater expertise. Because of this belief, they may assume that following the crowd is a safer choice than making independent decisions.

Herd behavior is important because it can contribute to the formation of market bubbles and sudden market crashes. When large numbers of investors move in the same direction at the same time, prices can rise or fall much faster than expected. Understanding herd behavior therefore helps explain why financial markets sometimes experience extreme movements that cannot be fully explained by economic fundamentals alone.

2.4 Anchoring Bias

Another behavioral bias that affects investment decisions is anchoring bias. Anchoring occurs when investors rely too heavily on a specific piece of information when making decisions. In many cases, this information becomes a reference point, even if it is no longer relevant to the current market situation.

In financial markets, investors often anchor their decisions to past prices of a stock or asset. For example, if a stock was previously trading at ₹1000 but later falls to ₹700, some investors may believe that the stock will eventually return to ₹1000. Even when new information is available, this reference point can still affect decisions. Because of this belief, they may hold the investment for a long time, even if the market conditions or the company's performance have changed.

Anchoring can also affect how investors evaluate new opportunities. When people become attached to a particular price or value, they may compare all future decisions to that reference point. As a result, investors may ignore new information and continue making decisions based on outdated assumptions.

This bias can lead investors to misjudge the true value of an investment. Instead of analyzing the current financial situation, market trends, or company performance, they may focus mainly on the price they originally paid or a previous market level.

Understanding anchoring bias is important because it shows how easily investors can become influenced by simple reference points. By recognizing this tendency, investors can try to focus more on updated information and objective analysis when making financial decisions.

2.5 Confirmation Bias

Another common behavioral bias in investing is confirmation bias. Confirmation bias occurs when investors prefer information that supports their existing beliefs and ignore information that contradicts them. Instead of evaluating all available data objectively, people often focus only on evidence that confirms what they already think.

In financial markets, this bias can affect how investors research and interpret information about an investment. For example, if an investor believes that a particular company will perform well, they may mainly read positive news or analysis about that company. At the same time, they might ignore negative reports or warning signs that suggest the investment could be risky.

Confirmation bias can make investors overly confident in their decisions because they only see information that supports their expectations. As a result, they may fail to consider alternative viewpoints or reassess their investments when new information becomes available.

This bias can also lead investors to hold onto investments even when there are clear signs that the situation has changed. Instead of reevaluating their decision, they may continue searching for information that justifies their original choice.

Understanding confirmation bias is important because it highlights how easily investors can become influenced by their own beliefs. By being aware of this bias, investors can try to evaluate information more objectively and consider different perspectives before making financial decisions.

3. Real Market Examples of Investor Psychology

3.1 Stock Market Crashes

Stock market crashes are one of the clearest examples of how investor psychology affects financial markets. A market crash usually involves a rapid and significant fall in stock prices within a short period of time. While economic factors may play a role, investor behavior and emotions often make these declines more extreme.

Fear is the main psychological factor behind most market crashes. When investors see prices starting to fall, many of them begin to worry that the losses will continue. This fear can lead to panic selling, where investors quickly sell their stocks to avoid further losses. As more people start selling at the same time, the supply of stocks increases and prices fall even faster.

This creates a chain reaction. Falling prices increase fear, and increased fear leads to more selling. In many cases, this cycle continues even when there is no major change in the actual economic conditions. As a result, market crashes are often driven not only by fundamentals but also by emotional reactions of investors.

A well-known example is the global financial crisis of 2008, where markets around the world experienced sharp declines. While the crisis began due to problems in the financial system, investor panic and loss of confidence played a major role in accelerating the market fall. Large numbers of investors sold their assets at the same time, which made the situation worse.



Figure 2. The S&P 500 during the 2008 global financial crisis (monthly closes, 2007–2010)
Source: Yahoo Finance (^GSPC).

Stock market crashes show how quickly emotions can spread in financial markets. When fear dominates investor behavior, decisions are often made based on short-term reactions rather than long-term analysis. Understanding this helps explain why markets sometimes fall much faster than expected and highlights the importance of staying calm during periods of volatility.

3.2 Cryptocurrency Bubbles

Cryptocurrency markets provide a strong example of how investor psychology can influence prices. Over the past few years, cryptocurrencies like Bitcoin and other digital assets have experienced rapid price increases followed by sharp declines. These movements are often driven not only by fundamentals but also by investor emotions and behavior.

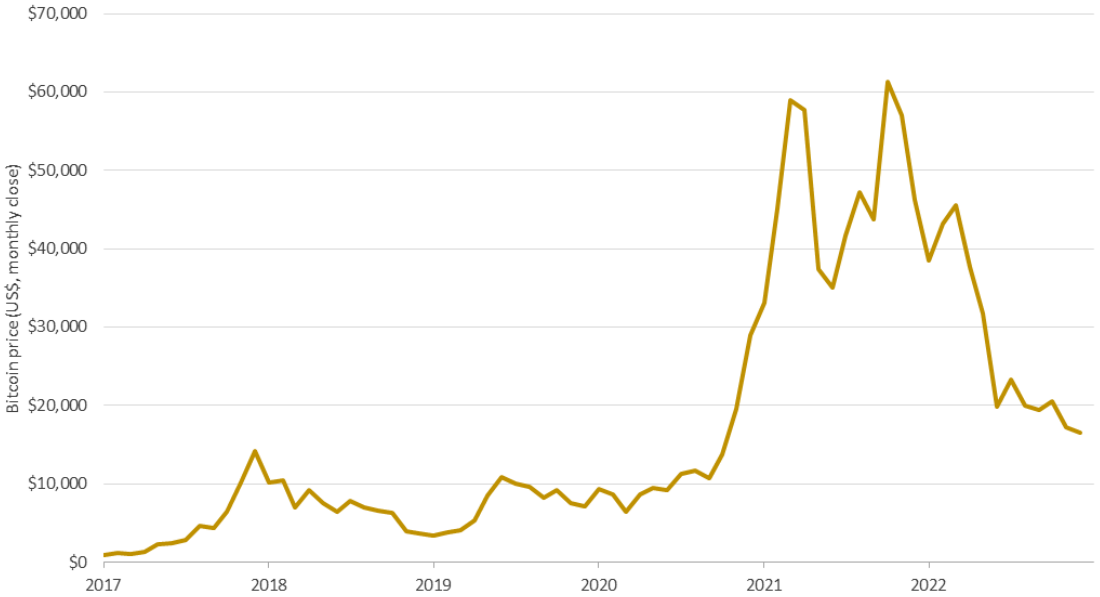


Figure 3. Bitcoin price, 2017–2022 (monthly closes, US$)
Source: Yahoo Finance (BTC-USD).

One of the main factors behind cryptocurrency bubbles is greed. When prices start rising quickly, many investors are attracted by the possibility of making large profits in a short time. As more people enter the market, demand increases and prices rise even further. This creates a cycle where rising prices attract more investors, which pushes prices even higher.

Herd behaviour also plays an important role. Many investors buy cryptocurrencies simply because others are doing the same. Social media, news coverage, and online discussions can increase this effect by spreading excitement and encouraging more people to invest without fully understanding the risks.

At the same time, investors may ignore warning signs due to overconfidence and strong belief in future price growth. Instead of analyzing the actual value or long-term potential, decisions are often based on expectations that prices will continue to rise.

However, these bubbles are usually unstable. When prices stop increasing or negative news appears, investor sentiment can change quickly. Greed turns into fear, and many investors begin selling at the same time. This leads to sharp price declines, often just as quickly as the earlier rise.

Cryptocurrency bubbles show how emotions and collective behaviour can drive markets away from their fundamental value. Understanding these patterns helps explain why such extreme price movements occur and highlights the risks of making investment decisions based only on hype and short-term trends.

3.3 Meme Stock Events

Meme stock events are another example of how investor psychology can strongly influence financial markets. Meme stocks refer to shares of companies that suddenly gain popularity, mainly due to social media platforms and online communities rather than strong financial performance.

A well-known example is the GameStop event in 2021, where a large number of retail investors started buying the stock after discussions on platforms like Reddit. As more people joined in, the demand for the stock increased rapidly, causing its price to rise sharply within a short period of time.



Figure 4. GameStop (GME) share price, December 2020 – March 2021 (daily closes)
Source: Yahoo Finance (GME). Prices are adjusted for the 4-for-1 stock split in July 2022.

Again, herd behaviour played a major role in this situation. Many investors bought the stock simply because others were doing the same. Social media created a sense of collective action, where people felt encouraged to participate in the trend. Instead of relying on company fundamentals, decisions were often influenced by online discussions and group sentiment.

Greed and excitement also contributed to the rapid rise in prices. As the stock price kept increasing, more investors entered the market hoping to make quick profits. This created a cycle similar to a bubble, where rising prices attracted even more buyers.

At the same time, some investors continued holding the stock even when prices became highly unstable, driven by hope and strong belief in the movement. However, when the trend began to slow down, many investors started selling, which led to a sharp decline in prices.

Meme stock events highlight how modern financial markets can be influenced by social media and collective behaviour. They show that investor decisions are not always based on analysis, but can be shaped by emotions, trends, and group influence. Understanding these events helps explain how quickly market sentiment can change and how it can lead to extreme price movements.

4. Emotional Factors in Investment Decisions

4.1 Fear in Financial Markets

Fear is one of the most powerful emotions that influences investor behavior. In financial markets, fear usually appears during periods of uncertainty, economic slowdown, or sudden market declines. When investors feel uncertain about the future, they may focus more on avoiding losses rather than making rational decisions based on long-term value.

During market downturns, fear can lead to panic selling. Investors may start selling their assets quickly because they are worried that prices will fall even further. When many investors react

this way at the same time, it can cause a sharp decline in market prices. In such situations, the fall in prices is often driven more by emotion than by actual changes in economic fundamentals.

Fear can also cause investors to avoid opportunities. For example, after experiencing losses, some investors may become too cautious and hesitate to invest again, even when market conditions improve. This can prevent them from benefiting from future growth.

Another reason fear has such a strong impact is uncertainty. Financial markets are unpredictable, and when investors do not have clear information, they may assume the worst. This can lead to decisions that are based more on emotion than on analysis.

Understanding the role of fear is important because it helps explain why markets sometimes fall rapidly in a short period of time. By recognizing how fear affects decision-making, investors can try to stay calm during market volatility and focus more on long-term strategies instead of reacting emotionally to short-term changes.

4.2 Greed and Speculation

Greed is another strong emotion that influences investor behaviour, especially during periods when markets are rising. Greed refers to the desire to earn higher profits, often leading investors to take more risks than they normally would. When investors see prices increasing and others making profits, they may feel motivated to invest quickly in order to benefit from the upward trend.

During such periods, investors may focus more on potential gains rather than the risks involved. This can lead to speculation, where people invest in assets mainly because they expect prices to rise further, rather than based on actual value or analysis. As more investors enter the market with the same mindset, demand increases and prices may rise rapidly.

In some cases, this behaviour can lead to the formation of market bubbles. Prices may move far beyond the true value of the asset, driven mainly by excitement and expectations rather than fundamentals. Investors may continue buying simply because they believe prices will keep increasing.

However, this situation is often unstable. When prices stop rising or negative news appears, investor confidence can quickly change. The same greed-driven buying can turn into fear-driven selling, causing prices to fall sharply.

Understanding greed is important because it explains why markets sometimes grow too quickly and become unsustainable. By being aware of this behaviour, investors can avoid making decisions based only on short-term excitement and instead focus on more balanced and informed investment strategies.

4.3 Hope and Holding Losing Investments

Hope is another emotion that can strongly influence investment decisions. In financial markets, hope usually appears when an investment starts losing value. Instead of accepting the loss and making a rational decision, investors may continue holding the investment because they believe that the price will eventually recover.

Many investors find it difficult to accept losses, so they rely on hope as a way to avoid taking action. For example, if a stock falls significantly, an investor may keep holding it with the

expectation that it will return to its previous level. However, in some cases, the fundamentals of the investment may have changed, and the price may not recover as expected.

This behavior is often connected to loss aversion. Since investors feel the pain of losses strongly, they prefer to delay selling in order to avoid realizing the loss. As a result, they may hold on to underperforming investments for too long instead of reallocating their money to better opportunities.

Hope can also prevent investors from making objective decisions. Instead of analyzing current market conditions or new information, they may focus only on the possibility of recovery. This can lead to missed opportunities and further losses over time.

Understanding the role of hope is important because it shows how emotional attachment can affect financial decisions. By recognizing this behaviour, investors can try to make more practical decisions based on current information rather than relying only on expectations about the future.

5. Conclusion

This study suggests that investor behaviour is not always fully rational and is often influenced by psychological factors. While traditional finance assumes that investors make decisions logically based on available information, real-world market behaviour often shows otherwise. In practice, emotions, biases, and even social influences can significantly affect how people invest.

The analysis of common behavioural biases—such as overconfidence, loss aversion, herd behaviour, anchoring, and confirmation bias—demonstrates how decision-making can be easily influenced. These biases may lead investors to take unnecessary risks, hold on to losing investments longer than they should, or follow market trends without proper evaluation. As a result, financial decisions are not always based purely on logic.

Emotional factors like fear, greed, and hope also help explain market behaviour. For instance, fear can trigger panic selling during market downturns, while greed may encourage excessive risk-taking during periods of rapid growth. Similarly, hope can prevent investors from accepting losses, even when it may be the rational choice. Such emotional responses often contribute to recurring patterns in financial markets.

Real-world events—including stock market crashes, cryptocurrency bubbles, and meme stock trends—further highlight the role of investor psychology. In many of these cases, price movements are driven not only by economic fundamentals but also by collective sentiment and behaviour. This shows how quickly markets can shift when large groups of investors react in similar ways.

At the same time, understanding these behavioural patterns can help investors make more informed decisions. Awareness of common biases and emotional influences allows individuals to approach investments more carefully and avoid certain mistakes. However, completely eliminating these influences is challenging, as they are a natural part of human behaviour. These findings align with behavioural finance research, which highlights the role of human psychology in shaping financial markets.

While behavioural biases are often discussed in global markets, their impact may be even stronger among first-time retail investors, especially in rapidly growing economies.

Financial markets are shaped not only by data and economic factors but also by human psychology. Even with advancements in knowledge and technology, investor behaviour continues to play a crucial role in market outcomes. This makes financial markets both complex and unpredictable, where logic and emotion constantly interact.

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